SWING-TRADING VERSUS DAY-TRADING

When someone first enters the world of trading, visions of grandeur swirl through their head, exacerbated by financial gurus drinking champagne on private jets. Visions of taking money out of an easy market, spending a couple hours per day trading, taking your gains, buying your lambo and living the easy life. Then reality settles in. Market whipsaws, news reactions, chart patterns, endless trading strategies to try, financial experts all giving opposite advice. The desire to "get it" all at once becomes all consuming, and ultimately you forget to ask yourself the most important questions. The questions that are necessary to make sure that trading fits into your life, and not that your life becomes trading.

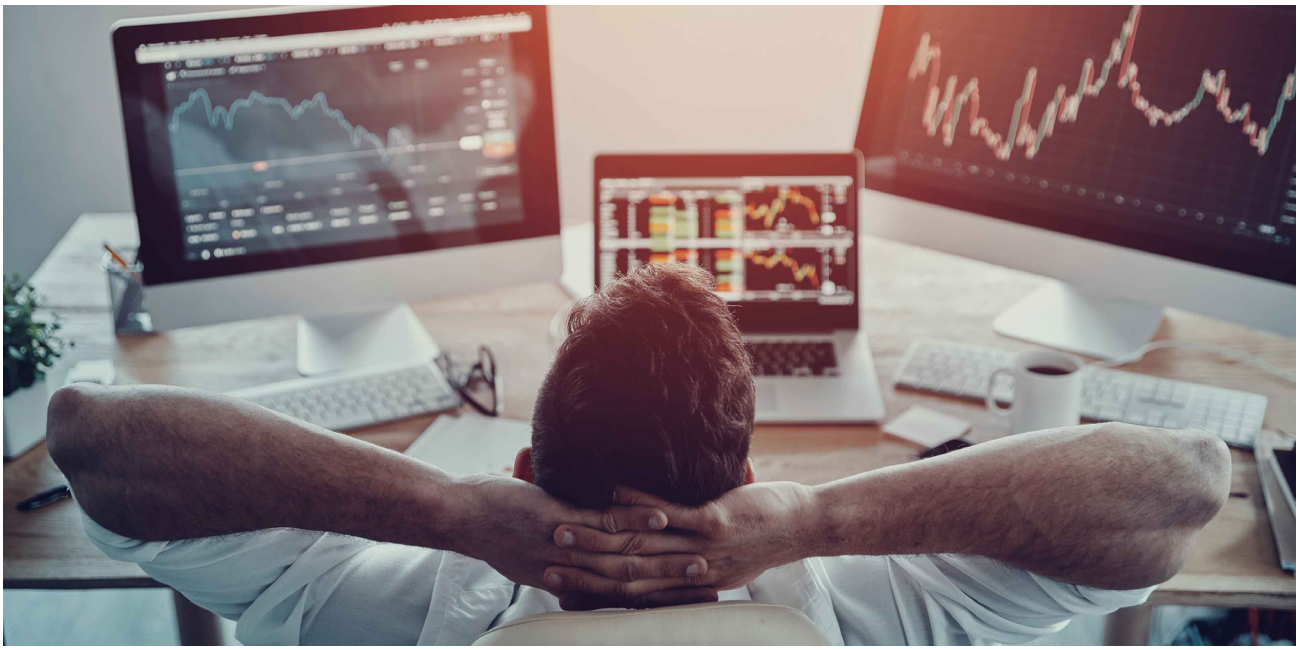
The choice to swing trade, day trade, or combination trade ultimately comes down to one of lifestyle, experience, and temperament...

How does Swing Trading Differentiate from Day Trading?

Swing trading is best described as short term momentum trading. It differs from long term investments, and it also differs from, but is more closely related to day trading. A day trader would close out each dedicated position before the end of the day and look for new opportunities each day in the markets. A swing trader will scout momentum trades on time frames anywhere from 2 days to 6 months, with the intention of selling and moving on to the next trade as the plan plays out or stops out.

Lifestyle

One of the first things to consider when choosing to focus on day trading versus swing trading is your overall lifestyle. What are your goals with respect to trading? What are you hoping to gain from it? How much time do you have to dedicate to learning and watching the markets? The markets are a seductive place, so it's important to know how you want trading to fit into your life before you dive in. If you have a demanding full-time job, are often in meetings or have a busy life full of distractions, then you might find the time requirements of day trading to be overwhelming when combined with life's other demands. Even though the freedom allowed by day trading is nice, it is also incredibly demanding on your time and requires a great deal of focus and mental energy.



Time in the Markets

Most of the time spent by traders is in watching the markets, learning and formulating trade plans. The more time spent in the markets allows you to gain experience in finding setups, and improving execution as you gain experience with your trade strategies. If you don't have enough time spent in the markets, making quick decisions that you don't have much time to plan can end in getting whipsawed and getting frustrated. Swing trading allows for greater flexibility in entries and more time to formulate plans and should be the initial go to type of trading while gaining further market experience. It will also allow you to capitalize on larger momentum moves that come along in different markets and varying hype sectors.

Temperament

A lot of newcomers will envision day trading as a quick way to make money fast, but in reality, day trading is all about the effects of compounding gains. It is a slow and steady way to participate in the market each day for just a piece of any given move. Your personal temperament will matter a lot in choosing day trading vs. swing trading. Day traders will often not get to experience the 50-200% moves in stocks that can happen on large market upswings, but they sleep at night in cash with the knowledge that market direction doesn't matter to them either. The fear of missing out on these larger market moves however, can often creep into their psyche, especially on days when trades don't go their way. Many day traders, when they go through frustrated patches, will look at larger market moves and wonder what would have happened "had they just bought and held". It is important to recognize that in day trading, there will often be times in the market where trading becomes flat, there aren't as many moves, or your trade strategy needs tweaking (such as when market conditions change) and to be prepared to handle these challenges in your stride. The grass is not always greener though. Swing traders frustrated by news events and whipsawed market directions will sometimes wake up frustrated that they didn't just close out positions at the end of the day. Allowing swing trades to both develop and play out, can require a lot of patience over a longer period of time, and in the near term one can watch the market make moves without them onboard. It is important to consider your own personal

temperament, understanding the challenges you will face, your level of patience (in quicker moves or larger percentages) and the time commitment you can give to the market in deciding whether swing trading or day trading is more suitable for you.

If you decide that the quick nature and day to day routine of day trading suits your temperament, then the markets are more open than ever before. The availability of several easily accessible markets now mean that traders who prefer to day trade are no longer limited to 9:30-4 EST market hours. Through forex, cryptocurrencies and futures contract trading, those who would like to day trade in hours that better suit their life have the opportunity to set their own trading hours. If you choose that day trading is more your style, but struggle with the traditional market hours, you can explore these other options for day trading within your lifestyle.

Things to consider: Fees and Pattern Day Trading

In the US, Pattern Day Trading limits the number of trades one can take in and out on any given day per week if your account balance is below 25000 USD. There are ways to get around this using settled cash and options, but it is important to take it into account if you plan to start day trading in the US.

Outside the US, many brokers still do not offer zero commission trades, and the cost of many trades especially on smaller capital can add up quickly when day trading. The commission for swing trades, since you hold positions longer and take fewer trades with less stop outs will be far less, and it is important to take this into consideration.

Merging the two - a combined approach

Oftentimes, after time in the market, traders will adopt a merged approach to trading, and combine swing trading with day trading. This offers the benefits of day trading - increased time in the markets, more immediate gratification for results - and swing trading, holding through larger moves and allowing time for trades to develop while not babysitting them, but it also comes with certain challenges as well. Frequently those who trade on small time frames will struggle to hold trades on longer time frames, because they get too focused on the short term action. It can

become hard to hold for weeks what you're watching every day. Traders can develop different strategies to mitigate this, including creating separate accounts for swing vs. day trading, and managing expectations through risk management and allotted capital to the various types of trading.

Risk Management and Risk Profile

Day trading and swing trading both carry certain advantages and disadvantages, but both share the necessity of risk management. Position sizing is one the most important things to consider for swing trading vs. day trading. When day trading, many traders will use a larger amount of their capital in any given trade, due to the fact that they are looking for smaller percentage gains per trade and have better control over their stops. Mistakes are often made when traders try to use similar capital allotment to swings, or try to turn day trades into swing trades. Due to the nature of the markets - overnight news, earnings, gaps in market trading - positioning oneself poorly can create an environment where greater than expected losses can occur. When positioning yourself for day trading vs. swing trading, make sure to consider the time in the market per trade, and the risk profile you are comfortable with based on that. A swing trade you intend to hold for 3-4 weeks can withstand a certain percentage loss as a one time loss, whereas 10-20 day trades in a day can't withstand the same percentage of loss over and over again.

There are successful day traders. There are successful swing traders. There are successful combination traders. There are those that fight and argue over which one is better or most successful. Ultimately however, success is far more likely when you match your abilities, experience and temperament with actionable plans. Creating a trading profile that is sustainable over time, and compliments your personality from the get-go will allow you to increase your odds of success in the volatile world of trading.